

Breakout direction: It's downward, as required.

Confirmation: Price closes below confirmation line E a day after touching it.

Every one of the above checks passes the guidelines set for the pattern. So what went wrong?

Price broke out downward and made it to A. A pullback happened that returned price back to B (meeting the breakout price). A pullback is typical, and they happen 64% of the time. This one made the journey back in just 4 days instead of the usual 12, and the stock didn't drop far below the breakout, either (5.2%, which is close to the predicted average of 6% for a pullback).

After price reached B, the breakout price, it kept rising up to C. At C, a right-angled broadening and descending pattern completed with a downward breakout.

This sent price back down to approach the bottom (E or A) of the double top again. After that, the stock climbed and closed above the top of the pattern. When that happened, price busted the downward breakout. The drop from E (confirmation) to A was slightly above the maximum price of a 5% failure. So technically it wasn't a failure, but I would have hated to have shorted this stock, or sold a long holding, expecting a steep decline.

A check of the fundamentals shows that the company announced earnings at the Adam peak. You can see how the market reacted to that announcement (the stock dropped for a month). The large drop (F) that took the stock down to E, the confirmation line, was because of the next earnings announcement.

The market interpreted as good news the next earnings announcement at G. The stock gapped higher (a breakaway gap) and soared thereafter.

I didn't see any news posted on the company website that explained why the stock turned higher at A. Apparently, the earnings report wasn't as bad as shareholders thought or maybe optimism expressed about the future during the conference call (I'm speculating here because I didn't check) helped convince people to buy the stock and halt the decline.